

RBLX pitch deck

PITCH — RBLX — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: NO ENTRY / WATCH. Damage is real but decelerating-not-collapsing; both benches ruled FLAT into the Q3 print, with entry pre-registration deferred to four re-specced print tripwires. Court-worthiness ~5/10.

What we believe

Roblox is entering its first genuinely bad stretch as a public company, but the bear case as originally drafted overstated it. What actually survived two adversarial benches reading the primary Q2 2026 shareholder letter ([primary source, 14pp](#)):

- **The company guided its first-ever bookings decline:** Q3 bookings of \$1,576–1,653M, down 14–18% year over year. That is real damage, not a framing artifact.
- **But the magnitude is roughly half what our brief claimed.** The brief’s “13–30 percentage points of seasonally-adjusted damage” range was contaminated at the top: the seasonal baseline included the 3Q25 *Grow a Garden* viral spike quarter — the same one-off comp the brief itself disqualified elsewhere. Using the clean 2024 seasonal step (+18.7%), expected Q3 bookings would be about \$1,853M versus a guide midpoint of ~\$1,615M: **about 13 points of true damage, the floor of the range, not the ceiling.**
- **The cost side is the strongest finding either bench produced, and it is partially irreversible.** Three separate developer-payout increases (Sept 2025 rate increase, June 2026 new-game incentive, the just-launched over-18 U.S. rate increase) pushed developer-exchange fees up 15% year over year, and infrastructure/trust-and-safety spend rose 54% on AI investment. Creator pay rises are one-way — you can’t cut them back without developer flight. So even if engagement recovers fully, it recovers into a structurally worse margin: Q3 net loss guided at \$(307)–(348)M versus \$(185)M in Q2, adjusted EBITDA guided at \$0–41M versus \$152M.
- **Growth quality is deteriorating underneath the headline.** Daily users grew 10% year over year, but that growth came from Japan and India (+64–67%); US/Canada hours grew just 1%. Low-monetizing users are replacing core-market engagement.
- The correct label is **damage-arriving with a ratcheted cost base** — not a terminal decline, and not a fully “tunable” temporary dip either. That dichotomy from the original brief was ruled false.

What the market believes

The stock is \$38.23, down 73% from its 52-week high of \$142 and only 12.8% above its 52-week low of \$33.88. Two full waves of sell-side capitulation have already happened (BofA in May; Benchmark,

Deutsche Bank, and BMO in August). The market has priced a severe monetization problem and near-zero forward free cash flow (Q3 guide: free cash flow between \$(60)M and \$5M, against roughly \$280M per quarter of stock compensation). At ~\$28.8B market cap on 752M fully diluted shares, the market is paying for an eventual recovery in bookings economics, not for current cash generation.

Whether the current price *over*-discounts the damage is unverified: our positioning/attention tooling could not be run this session (a flagged coverage gap), and with full bulge-bracket coverage, “efficiently repriced after two capitulation waves” is a legitimate hypothesis we could not rule out.

Why we might have edge

- **We quantified the damage more carefully than the tape’s narrative.** The seasonally-adjusted damage is ~13 points, not 30 — the market may be extrapolating the spike-contaminated version.
- **We identified which Q3 metrics actually discriminate between recovery and decay.** Management has pre-committed to a sequential DAU increase, but that commitment is driven by seasonality, algorithm changes, and a full quarter of reinstated Russian users who barely monetize — it will come true under both the bull and bear thesis, and grades nothing. The metrics that DO discriminate: Q3 bookings against the \$1,576–1,653M guide, average bookings per daily user against \$12.66, developer payouts as a share of bookings, and adjusted EBITDA against \$0–41M. Most observers will grade the DAU number; we won’t.
- **The balance sheet is better than book equity suggests, worse than “net cash” suggests.** We did the work: \$6.08B of cash and investments sits against \$6.90B of deferred revenue, but most costs on those deferred bookings were already paid at booking time, and the board is actively buying back stock (\$380M in Q2, stated \$1B over 12 months). Usable ballast is plausibly \$3–4B — a haircut, not a zeroing. Neither the bull’s “\$5.1B net cash floor” nor a naive read of the \$129M book equity is right.
- **A revenue-optics trap is coming that others may misread.** GAAP revenue still prints up 4–10% while bookings decline, because of deferred-revenue flow-through. When the 2025 bookings cohort amortizes out, 2027 GAAP revenue optics roll over even if bookings stabilize. Knowing the mechanism in advance is an interpretive edge at future prints.

Why it might be priced in

Symmetry demands this be stated plainly: the stock is 12.8% off its low after two analyst capitulation waves, with full institutional coverage. The “everyone panicked, we alone did the math” story is exactly the kind of claim our own doctrine says to distrust. Forward free cash flow is guided to roughly zero, so there is no cash-yield floor to anchor a bottom, and the “net cash support” floor was explicitly rejected by both benches. We have no positioning data, no short-interest data, and no third-party engagement telemetry — so we cannot show the market is mispricing the ~13-point damage number rather than already pricing it. Both benches independently concluded FLAT. That is not a hedge; it is the finding.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Brief: “DAUs fell 3 straight quarters, –19% off peak; Hours –28%”	Primary letter pp. 2, 8–9	Sequential declines are measured off the 3Q25 viral spike; year over year DAUs +10%, Hours +5%, bookings +8%. Our own brief used the spike as denominator for damage while disqualifying it for the drawdown — a basis inconsistency. But red overcorrected: the declines are counter-seasonal, and the YoY growth is Japan/India-driven while US/CA hours are +1%	Partially — “decel not decline” confirmed; both benches erred and were corrected
Brief’s lead tripwire: management’s sequential-DAU commitment would grade the thesis	Letter p. 11 verbatim + p. 8 (Russia reinstated June)	The commitment is driven by seasonality, algorithm changes, and Russian reinstatement — it resolves TRUE under both theses. Our court’s advertised product was mis-specified; the tripwire grades nothing	Confirmed (bench error in original brief)
Brief: “FY26 guidance withdrawn” (distress signal)	Letter p. 11	It is an acceleration of a <i>previously announced</i> move to quarterly-only guidance — weaker evidence than a withdrawal, though accelerating it into the worst quarter isn’t zero signal	Refuted as framed
Brief: “\$5.1B net cash ballast” supports an entry floor	Balance sheet p. 13 + revenue-recognition note p. 11 + buyback p. 10	Cash \$6.08B vs deferred revenue \$6.90B and \$129M book equity. Red called it fully encumbered; blue showed red overreached — deferred costs are largely pre-paid, and the board is repurchasing (\$380M in Q2, \$1B/12mo intent). Usable ballast ~\$3–4B (~\$4.00–5.30/share) — real but nowhere near a floor at \$38	Both extremes refuted; haircut confirmed
Brief: 13–30pp seasonally-adjusted bookings damage	Recomputed seasonal steps from p. 2 chart, excluding spike year	2025’s +33.7% Q2→Q3 step is the spike quarter; clean 2024 step is +18.7% → expected Q3 ≈ \$1,853M vs guide midpoint \$1,615M = ~ 13pp damage . Both benches initially missed the contamination	Confirmed at 13pp; 30pp refuted
Cost ratchet is irreversible	Letter pp. 3–4, 9–12	All figures verified: DevEx +15% (\$363M, +130bps of bookings), Infra/T&S +54% (\$236M, +450bps), “fixed cost deleveraging” guided, Q3 net loss \$(307)–(348)M, adj. EBITDA \$0–41M. Minor offset: personnel and cost-of-revenue show leverage (–330bps/–190bps)	Confirmed — strongest finding
27-month paying-user-lifetime estimate is a downside revenue risk	Guide footnote (A), p. 12	Estimate risk is real, but red got the direction wrong : a shortened payer life <i>accelerates</i> recognition and optically	Confirmed with correction

Claim	How checked	Found	Confirmed?
		boosts revenue. The real 2027 optics risk is the 2025-cohort rolloff	
Share count / dilution	Pack XBRL vs letter p. 10	Pack's 684.8M is GAAP weighted-average; fully diluted is 752M, +2% YoY. A naive pack-vs-brief diff would have manufactured a false +10% dilution kill — the discipline check caught it	Confirmed
Q3 guide numbers and 1H26 cash flow	Guidance table p. 12	Bookings \$1,576–1,653M, OCF \$110–175M, FCF \$(60)–\$5M; 1H26 FCF \$596M + \$294M = \$890M; footnote (B) excludes loss-contingency accruals as of July 30	Confirmed
Tape framing	Pack (Yahoo, post-close 08-15); IBKR live snapshot attempted, permission denied	\$38.23 stands (market closed). Note: the runner flagged a dd52 misquote warning against the blue bench's tape framing (declared supersession, not fabrication) — adjudicator should audit before crediting any drawdown-anchored finding	Confirmed with audit flag
Already-priced-in	Attempted positioning/attention run	Tooling unrunnable this session — coverage gap , hypothesis remains open	NOT confirmed

PROPOSED ENTRY BANDS

The courts say no entry now. There is no price at which we buy before the Q3 print — both benches rejected the only proposed floor (net-cash support), and with forward free cash flow guided to roughly zero against ~\$280M/quarter of stock compensation, no cash-yield anchor exists. What follows are the **reopen bands**, built from the benches' own math:

Reopen condition — grade these four tripwires at the Q3 print (expected 2026-10-29, unconfirmed):

- 1. Q3 bookings vs. the \$1,576–1,653M guide.** Above \$1,653M: damage is shallower than guided — reopen the entry question. Below \$1,576M: terminal-side evidence — reopen the *short/avoid* question instead.
- 2. Average bookings per daily user vs. \$12.66.** Stabilization or recovery here is the single cleanest signal that monetization softness was tunable. Continued decay confirms the decay thesis regardless of DAU headlines.
- 3. Developer payouts as % of bookings.** Flat-to-down means the ratchet has paused; another step up compounds the structural-margin kill.
- 4. Adjusted EBITDA vs. the \$0–41M guide.** A meaningful beat reopens the tunable case; a miss into negative territory closes it.

Calibration for the reopen: bookings near \$1,853M would imply roughly zero seasonally-adjusted damage (full tunable case); the guide midpoint ~\$1,615M implies the confirmed ~13 points. Do **not**

grade the sequential-DAU number — it resolves true under both theses and was formally demoted.

Sizing: none proposed. Neither bench pre-registered a size; per the response-taxonomy discipline, this is a business-risk finding (size-cut instrument), so any post-print entry must be sized fresh at adjudication after the tripwires grade — not carried in from this deck.

Exits/trims: not applicable (no position, no orders).

Downside information trigger (not a buy): a break below the 52-week low of \$33.88 re-runs the court; it does not authorize an entry, because no floor thesis survived.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 33.88 (deck-provisional: New 52-week low breaches the pack's lo52 — re-run the court; no floor thesis survived, so this is a re)
- filing watch: 8-K until 2027-02-11 (deck-provisional: Company PR/8-K naming the Q3 print date (10/29 vs 11/11 unresolved) and Q3 results to grade the four r)
- dated pack RBLX|2026-10-29: RBLX: Q3 2026 print — grade bookings vs \$1,576-1,653M, ABPDAU vs \$12.66, DevEx % of bookings, Adj-EBITDA vs \$0-41M; sequential-DAU explicitl

What remains unverified

- **The print date.** 2026-10-29 is yfinance-derived; no company PR names it. Everything downstream keys off an unconfirmed date.
- **Whether the damage is already priced in.** Our positioning/attention tooling could not run this session; no short-interest or crowding data was obtained. This is the single biggest open question, since it decides whether a clean print is a buy or a nothing.
- **Squeeze fuel.** Red flagged that crowded shorts would change the FLAT calculus; no positioning data exists to check.
- **Pre-print engagement telemetry.** No third-party 28-day-retention data was obtained to test the discovery-algorithm/retention claim before the print.
- **Loss contingencies** excluded from the guide by footnote (B) — size and probability unknown.
- **The satellite/facilities checks** were uncheckable (facilities geocoded only to state centroids) — ruled non-decisive since capex isn't the disputed variable, but formally open.
- **The blue bench's drawdown framing** carries an unresolved runner misquote warning (declared supersession, dd52); adjudicator to audit before crediting any drawdown-anchored claim.

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